

Chapter 1

Business Processes

الحياة ما قبل ال ERP : 10 reasons WHY

للقراءة والفهم فقط

Before ERP systems, organizations relied on **manual processes, standalone software, and disconnected departments**

كان في مشاكل كثير زي:

- 1- الأقسام المختلفة زي ال HR, finance, sales كان لكل قسم سيستم منفصل عن الثاني و different paper records.
- 2- كل سيستم كان بياخد كوبي من الداتا عنده يشتغل بيها ودا كان بيسبب ان الداتا تكون متكرره وفيها غلطات .
- 3- اتخاذ القرارات كان بطئ جدا عشان ال reports had to be compiled manually.
- 4- شركات كثير كانت بتعتمد على الاكسل والسبريد شيت للتخطيط المالي ودفع المرتبات ومتابعة المخزون.
- 5- كان بيتيم استخدام الورق في الفواتير وملفات العمال ف الداتا كانت بتضيع وصعب استرجاعها.
- 6- شغل الاكونتينج وال HR كان manual وكل حاجة لازم تتمضي بالأيد ودا سبب بطء في سير العمليات.
- 7- الأقسام كانت بتتواصل سوا عن طريق الايميلات والاتصالات الهاتفية .
- 8- الشركات الي بيكون ليها فروع كثير وفي أماكن وبلاد مختلفة طبعا دا هيكون صعب لو معنديش سيستم واحد مجمعل كل الداتا في مكان واحد .
- 9- المراجعة المالية كانت بتاخذ وقت طويل جدا لان الورق والملفات كل حاجة في حنة مختلفة.
- 10- اهم مشكلة هي lack of real-time update ان حاجة تتغير في قسم, القسم التاني ميكونش عنده فكره عن التغير دا غير بعد وقت، مثلا قسم ال sales في فتحالله بيعمل عروض سكر لرمضان وهو مش واخد باله ان الكميات خلصت في المخزون وقسم المخازن مبلغش السيلز ، الزباين تروح علي أساس في عروض متلاقيش حاجة. دا بيخلي الشركة تخسر مصداقيتها و الزباين.

ERP المنقذ:



ERP systems changed this by **centralizing data, automating workflows, improving reporting, and enhancing efficiency**. Businesses moved from manual, disjointed processes to real-time, integrated operations.

المشكلة اتحلت ان بقي عندي سيستم واحد متجمع فيه كل حاجة وكل الأقسام بتستخدمه بدل ان يكون في سيستم مختلف لكل قسم، والتخلي عن الاكسل لان معظم العمليات بقت automatic ودازي متابعة المخزون والمرتببات وإدارة العمليات فدا قلل الأخطاء و زود السرعة في الأداء، ثانيا مبقاش في حاجة للتواصل عن طريق الايميل او الفون لان أي قسم محتاج معلومات من قسم تاني يقدر بسهولة يجيبها من السيستم ، لان زوي ما قولت السيستم موحد والداتا بيز واحدة و centralized.



Functional Organizational Structure

- The **Most common** organizational structure.
- functional structure is divided into **functions** or **departments**, each of them is responsible for a set of related activities. الهيكل التنظيمي متقسم لوظائف واقسام وكل قسم له مجموعة من المهام المرتبطة.

- the business processes that are performed in the company are **cross-functional** :

بمعنى ان العمليات الرئيسية الي تقوم بيها الشركة مش بتتم في قسم واحد ولكن بتتم بشكل مترابط بين الأقسام داخل الشركة

عشان كذا مينفعش كل قسم يركز علي مهامه فقط دون الالتفات للعملية الكبيرة .

زى عملية البيع بيشارك فيها اقسام زي الإنتاج والمخازن و التسويق.

Silo Effect

- People in the different departments perform their tasks in **isolation without fully understanding of the whole process.**

- They Focus on **functional objectives** without regard to **process objectives**.

تأثير الصومعة: ان الافراد في كل قسم بيشتغلو في عزلة ومركزين علي شغلهم واهدافهم بس ومش مركزين مع اهداف وعمليات الشركة ككل.

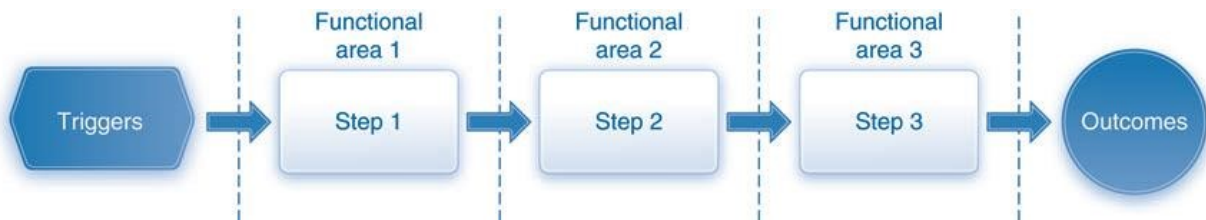
Enterprise Systems

- Impossible to manage processes that are **geographically dispersed** without utilizing modern information systems
عشان كذا محتاج لسيستم يقربلي المسافات ويسهل التعامل ويربط بين الاقسام
- Enterprise systems (ES) support **end-to-end processes**
- Investments in ES have provided
 - Increased profitability
 - Increased productivity
 - Competitive edge

Business Processes

- Sequence of tasks or activities that produce desired outcomes.

• كل business process عشان تحصل لازم يحصلها **trigger** و بعدين يقوم بعدة خطوات **steps** عشان اطلع **outcome** الي هو الناتج النهائي.
مثلا جالي عميل عاوز اصنعه 100 كرسي دا **trigger** و خطوات التصميم والتجميع و التصنيع دي **steps** والمنتج النهائي دا **outcome** الي بسلمه للعميل.



- Processes **interrelated** with other processes.
- Processes may have **sub-processes**.

نلاحظ ان العمليات الي بتقوم بيها الشركة بتكون مترابطة وبتكمل بعض, زي التصنيع مرتبط بالتسويق مثلا.

العملية ممكن يكون جواها عمليات فرعية (مثلا عملية التصنيع جواها عمليات فرعية زي تصميم وتجميع وهكذا).

Key Business Processes

عندي 3 عمليات رئيسية A)

1) The procurement process (**buy**): refers to all of the activities involved in **buying or acquiring** the materials used by the organization, such as raw materials needed to make products.

2) The production process (make): involves the actual **creation** of the products within the organization.

3) The fulfillment process (sell): consists of all the steps involved in **selling and delivering** the products to the organization's customers.

B) عمليات اخري :-

4) The lifecycle data management process (design): supports the **design and development** of products from the initial product idea stage through the discontinuation of the product.

5) The material planning process (plan): uses historical data and sales forecasts to **plan which materials** will be produced and in what quantities.

6) The inventory and warehouse management process (store): is used to **store and track** the materials.

7) The asset management and customer service processes (service): are used to **maintain internal assets** such as machinery and to deliver **after-sales customer** service such as repairs.

8) Human capital management processes (people): focus on the **people** within the organization and include functions such as recruiting, hiring and training.

9) Project management processes (projects): are used to **plan and execute large projects** such as the construction of a new factory or the production of new products.

10) Financial accounting (FI) processes (track-external): track the financial impacts of process steps with the goal of meeting **legal reporting** requirements.

11) Management accounting or controlling (CO) processes (track-internal): focus on **internal** reporting to manage **costs and revenues**.

انا هرکز علي اول 3 الاساسين و دول الي هدرسهم بالتفصيل في الشابتريز الي جاية.

Choose: -

1. Which term refers to business processes that are not executed by a single group or function?

- A) Silo Effect
- B) Cross-Functional**
- C) Functional Structure
- D) Enterprise Systems

2. Which term refers to a system in which workers complete their tasks in separate departments without regard to the consequences for the other components of the process?

- A) ERP Effect
- B) Silo Effect**
- C) Cross-Functional
- D) Functional Structure

3. Which of the following statements about business process is true?

- A) They are executed across multiple functions
- B) They are initiated by some type of trigger
- C) They involve multiple steps
- D) All of the above**

4. Which term represents a set of tasks or activities that produce desired outcomes?

- A) Business Process**

- B) Trigger
- C) Outcome
- D) None of the above

5. Which term refers to all of the activities involved in buying or acquiring the materials used by the organization, such as raw materials needed to make products?

- A) Material Planning
- B) Procurement Process**
- C) Production Process
- D) Fulfillment Process

6. Which process involves the actual creation of the products?

- A) Production Process**
- B) Material Planning
- C) Procurement Process
- D) Fulfillment Process

7. Which process uses historical data and sales forecasts to plan which materials will be procured and produced?

- A) Material Planning**
- B) Procurement Process
- C) Production Process
- D) Fulfillment Process

8. Which process supports the design and development of products from the initial product idea stage through the discontinuation of the product?

- A) Material Planning
- B) Lifecycle Data Management**
- C) Production Process
- D) Fulfillment Process

9. Which process tracks the financial impact of process steps with the goal of meeting legal reporting requirements?

- A) Financial Accounting**
- B) Human Capital Management
- C) Project Management
- D) Management Accounting or Controlling

10. Which process is used to plan and execute large projects such as the construction of a new factory or the production of complex products such as airplanes?

- A) Human Capital Management
- B) Project Management**
- C) Financial Accounting
- D) Management Accounting or Controlling

11. Which process focuses on people within an organization and includes functions such as recruiting, hiring, training, and benefits management?

- A) Human Capital Management**

- B) Project Management
- C) Financial Accounting
- D) Management Accounting or Controlling

12. What is the first step of the production process?

- A) Authorize Production
- B) Request Production**
- C) Create Product
- D) Issue Raw Materials

13. What is the final step of the procurement process?

- A) Invoice
- B) Purchase Requisition
- C) Purchase Order
- D) Payment**

14. What function does the warehouse perform in the fulfillment process?

- A) Prepares and sends the shipment to the customer**
- B) Communicates data related to the order to other parts of the organization
- C) Tracks the order
- D) Notifies the customer

15. Is matching the demand for materials in the organization with the supply.

- A) Business Planning

- B) The Silo Effect
- C) Project Management
- D) Material Planning**

16. Which of the following is responsible for the storage and movement of materials?

- A) Business Planning
- B) Silo Effect
- C) Material Planning
- D) Inventory and warehouse management**

17. enables an organization to optimize its product development process.

- A) Business Planning
- B) Lifecycle Data Management**
- C) Project Management
- D) Material Planning

18. Which of the following are steps within a generic business process of an organization?

(you can choose more than one answer)

- A) Payment
- B) Trigger**
- C) Shipment
- D) Outcome**

T O R F

- ✓ 1) The most common organizational structure within modern organizations is the functional structure.
- ✓ 2) Losing sight of the big picture is commonly referred to as the silo effects.
- X 3) An enterprise system is a set of tasks or activities that produce desired outcomes. *business processes*
- ✓ 4) Without the steps of the business process, a company can't successfully bill customers and ship products.
- ✓ 5) The lifecycle data management (design) process supports the design and development of products from the initial product idea stage through the discontinuation of the product.
- X 6) The material planning process is used to maintain internal assets such as machinery and to delivery after-sales customer services such as repairs.
- ✓ 7) The fulfillment process (sell) consists of all the steps involved in selling and delivering the products to the organization's customers.
- X 8) The financial accounting process focuses on ^{ex}internal reporting to manage costs and revenues.
- ✓ 9) The procurement process includes all of the tasks involved in acquiring needed materials.
- ✓ 10) Within the production process, the issuing of raw materials takes place in the warehouse.

- ✓ 11) The purpose of material planning is to match supply with demand.
- ✓ 12) Management accounting helps an organization track costs and revenues to assess its profitability.

Answers (CHOOSE)

1.	2.	3.	4.	5.	6.	7.	8.	9.	10.	11.	12.	13.	14.	15.	16.	17.	18.
B	B	D	A	B	A	A	B	A	B	A	B	D	A	D	D	B	B&D

Answers (t or f)

1	2	3	4	5	6	7	8	9	10	11	12
T	T	F	T	T	F	T	F	T	T	T	T

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